

To illustrate this reasoning, we append the record of net earnings for 1925–1933 of Continental Baking Corporation and American Laundry Machinery Company.

| Year | Continental<br>Baking | American Laundry<br>Machinery |
|------|-----------------------|-------------------------------|
| 1933 | \$2,788,000           | \$1,187,000( <i>d</i> )       |
| 1932 | 2,759,000             | 986,000( <i>d</i> )           |
| 1931 | 4,243,000             | 772,000                       |
| 1930 | 6,114,000             | 1,849,000                     |
| 1929 | 6,671,000             | 3,542,000                     |
| 1928 | 5,273,000             | 4,128,000                     |
| 1927 | 5,570,000             | 4,221,000                     |
| 1926 | 6,547,000             | 4,807,000                     |
| 1925 | 8,794,000             | 5,101,000                     |

The profits of American Laundry Machinery reveal an uninterrupted decline, and the trend shown by Continental Baking is almost as bad. It will be noted that in 1929—the peak of prosperity for most companies—the profits of these concerns were substantially less than they were four years earlier.

Wall Street reasoning would be prone to conclude from this exhibit that both enterprises are definitely on the downward path. But such extreme pessimism would be far from logical. A study of these two businesses from the qualitative standpoint would indicate first that the respective industries are permanent and reasonably stable and secondly that each company occupies a leading position in its industry and is well fortified financially. The inference would properly follow that the unfavorable tendency shown during 1925–1932 was probably due to accidental or nonpermanent conditions and that in gaging the future earning power more enlightenment will be derived from the substantial *average* than from the seemingly disastrous trend.<sup>5</sup>

**Deficits a Qualitative, Not a Quantitative Factor.** When a company reports a deficit for the year, it is customary to calculate the amount in dollars per share or in relation to interest requirements. The statistical

<sup>5</sup> The results since 1933 would tend to bear out this earlier conclusion, at least in part.